

The W&W Indicator further signals “Very Bullish” sign for A-share market

Equity Strategy

Indicator reiterates “very bullish” sign for A-share

Monthly average of the BofA China A-share Wax & Wane Indicator improved to 29 in May, with weekly average also at 29 – firmly in the bullish zone. Daily reading hit 13 (“very bullish”) on May 11th, the strongest level since Sep-2024, following another “very bullish” signal on Apr 16th. Earnings revision is positive, liquidity is ample, fund flow is supportive, albeit with elevated leverage and positioning and rich valuation. Global markets delivered mixed returns in the past one month amid lingering geopolitical tensions yet still-strong AI trades. Within China, Star 50, ChiNext and CSI1000 outperformed while NASDAQ Golden Dragon, MSCI China and HSCEI lagged. Sentiment is bullish, with strong interest in China’s tech and industrials. Market is trading in an “A share style”: thematic-driven, fast rotation, and favoring mid/small caps. Reiterate our view that A-share’s outperformance over H may continue (see [China Conference feedback](#)).

Leverage: 75%, high. Margin trading as a % of A-share daily turnover edged lower to 9.9% in May-26, but still higher than its long-term average of 9.0%.

Valuation: 84%, high. P/E at 24.3x is above its long-term average of 21.2x.

Positioning: 64%, high. 86.9% of stock mutual funds’ position is currently invested, higher than its long-term average of 84.7%.

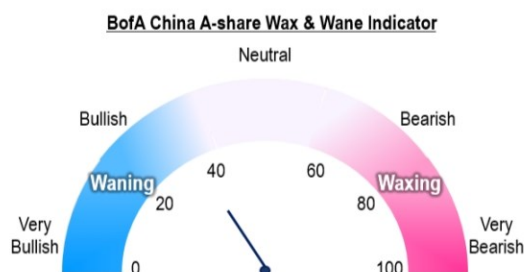
Liquidity: 21%, loose. The 10-year government bond yield has risen to 1.76% in May-26 from its record lows of 1.6% in Jan-25.

Fund flow: 34%, supportive. Turnover/market cap stands at 2.8% in May-26, well above its long-term average of 1.1% since 2007.

Earnings: 26%, positive. CSI 300 earnings revision has recovered from -12% YoY in Sep-24 to 10.1% YoY in May-26.

Exhibit 1: BofA China A-share W&W Indicator in May 2026

The latest daily reading at 37 is “marginally bullish”. The monthly average at 29 is bullish



Source: Wind, CEIC, Bloomberg; **Disclaimer:** The BofA China A-share W&W Indicator identified as an indicator above is intended to be an indicative metric only and may not be used for reference purposes or as a measure of performance for any financial instrument or contract, or otherwise relied upon by third parties for any other purpose, without the prior written consent of BofA Global Research. This BofA China A-share W&W Indicator was not created to act as a benchmark

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BofA
Data
Analytics



Winnie Wu >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 3058
winnie.wu@bofa.com

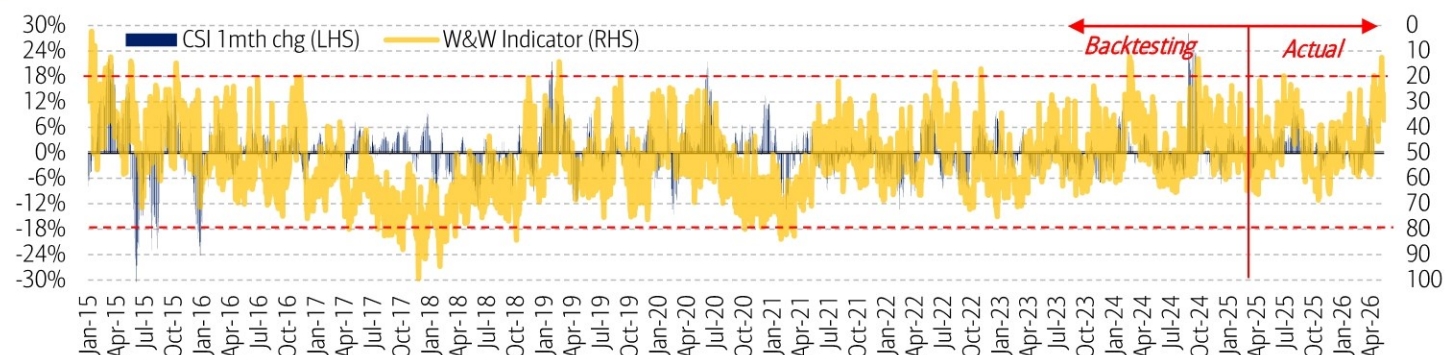
Gina Wu >>
Strategist
Merrill Lynch (Hong Kong)
+852 3508 8008
gina.wu@bofa.com

W&W Indicator vs CSI300 performance

The exhibits below show the historical correlation between the W&W Indicator and the CSI300 Index forward performance for the following 1/2/3 month(s) since 2015.

Exhibit 2: W&W Indicator vs percentage change in CSI300 in the following 1mth (Back-tested) since Jan-2015

W&W Indicator has been fairly good in predicting the CSI300 1mth performance

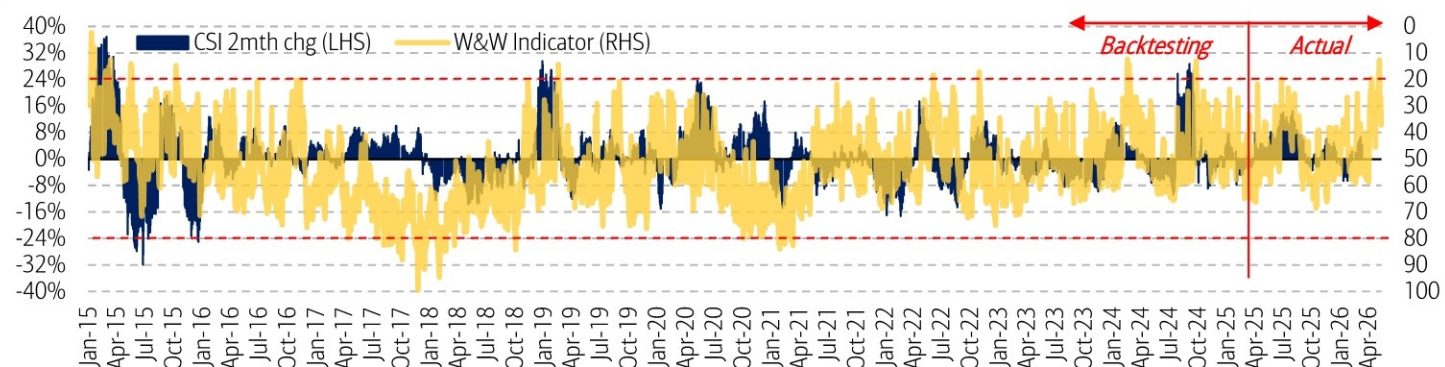


Source: Wind, Bloomberg **Note:** Backtesting for Jan-2010 to Jun-2021, actual starts Jul-2021. #W&W Indicator's input factors rose from six to ten from Jan-2010 to Apr-2015, due to data availability, thus the historical reading before and after Apr-15 may not be fully comparable. This performance is back-tested and does not represent the actual performance of any account or fund. Back-tested performance depicts the theoretical (not actual) performance of a particular strategy over the time period indicated. No representation is being made that any actual portfolio is likely to have achieved returns similar to those shown herein.

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Exhibit 3: W&W Indicator vs percentage change in CSI300 in the following 2mths (Back-tested) since Jan-2015

W&W Indicator has been fairly good in predicting the CSI300 2mth performance

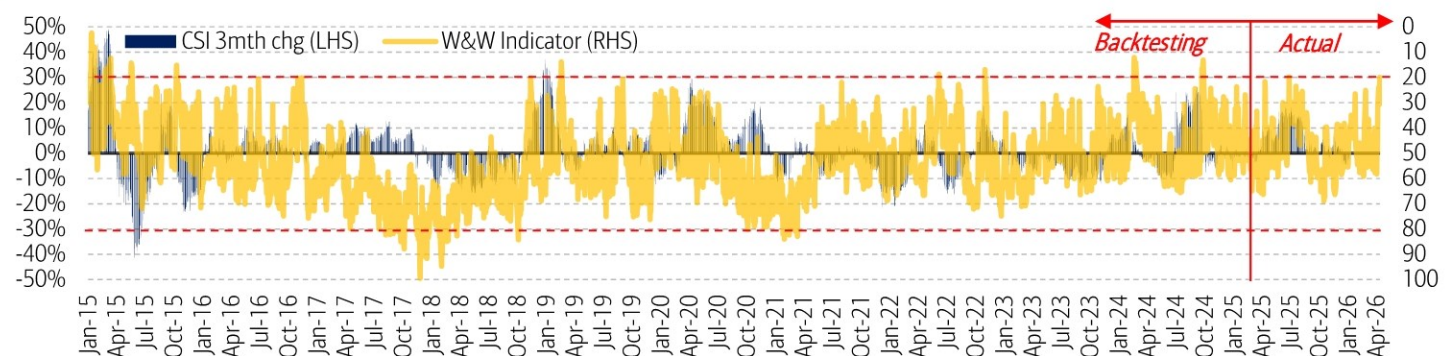


Source: Wind, Bloomberg **Note:** Backtesting for Jan-2010 to Jun-2021, actual starts Jul-2021. #W&W Indicator's input factors rose from six to ten from Jan-2010 to Apr-2015, due to data availability, thus the historical reading before and after Apr-15 may not be fully comparable. This performance is back-tested and does not represent the actual performance of any account or fund. Back-tested performance depicts the theoretical (not actual) performance of a particular strategy over the time period indicated. No representation is being made that any actual portfolio is likely to have achieved returns similar to those shown herein.

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Exhibit 4: W&W Indicator vs percentage change in CSI300 in the following 3mths (Back-tested) since Jan-2015

W&W Indicator has been fairly good in predicting the CSI300 3mth performance



Source: Wind, Bloomberg **Note:** Backtesting for Jan-2010 to Jun-2021, actual starts Jul-2021. #W&W Indicator's input factors rose from six to ten from Jan-2010 to Apr-2015, due to data availability, thus the historical reading before and after Apr-15 may not be fully comparable. This performance is back-tested and does not represent the actual performance of any account or fund. Back-tested performance depicts the theoretical (not actual) performance of a particular strategy over the time period indicated. No representation is being made that any actual portfolio is likely to have achieved returns similar to those shown herein.

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Market performance

Exhibit 5: Global markets delivered mixed returns amid lingering geopolitical tensions yet still-strong AI momentum. Within China, Star 50, ChiNext and CSI1000 outperformed the most while NASDAQ Golden Dragon, MSCI China and HSCEI lagged

Performance of major indices

Major indices	Current level	Performance (%)								Ranking							
		1M	3M	6M	12M	YTD	3yr	5yr	10yr	1M	3M	6M	12M	YTD	3yr	5yr	10yr
S&P 500	7,403	3.9	7.6	11.9	24.2	8.1	76.3	79.3	261.5	6	5	8	10	8	3	2	2
Dow Jones	49,686	0.5	0.0	7.8	16.5	3.4	48.2	45.9	183.5	10	11	12	12	12	7	4	3
NASDAQ	26,091	6.6	14.7	16.3	35.8	12.3	105.6	96.1	450.5	3	3	7	6	6	1	1	1
Euro Stoxx 50	5,849	-4.6	-5.4	6.4	12.7	0.3	45.0	39.3	104.3	16	15	13	13	13	8	5	6
FTSE 100	10,324	-4.1	-4.1	10.4	20.3	3.8	44.5	38.9	53.9	15	12	10	11	11	10	6	8
Nikkei 225	60,816	3.4	3.5	22.3	47.9	18.8	73.4	46.7	152.3	7	9	5	5	3	4	3	4
Russell 2000	2,775	-0.1	4.4	18.2	31.3	11.8	55.5	25.5	151.6	11	8	6	8	7	6	8	5
MSCI China	78	-4.0	-7.1	-8.5	4.6	-6.4	23.0	-27.4	44.6	14	16	16	15	16	16	16	11
NASDAQ Golden Dragon	6,791	-6.1	-10.4	-12.9	-8.1	-9.8	6.5	-52.5	2.5	17	17	17	17	17	17	17	17
HSI	25,675	-1.9	-4.1	-1.6	9.7	-0.4	30.1	-11.0	28.4	12	13	14	14	14	12	13	13
HSCEI	8,598	-2.8	-5.4	-6.9	1.3	-4.1	28.0	-20.0	2.7	13	14	15	16	15	14	15	16
SHCOMP	4,132	2.2	2.8	9.6	30.1	7.0	29.7	10.6	41.5	9	10	11	9	10	13	12	12
CSI300	4,834	2.5	5.3	10.6	31.8	7.3	26.4	-12.0	51.5	8	6	9	7	9	15	14	9
CSI500	8,554	4.4	4.7	25.1	58.7	17.8	44.5	22.5	46.1	5	7	3	3	5	9	9	10
CSI1000	8,720	5.2	7.9	22.4	52.4	18.0	37.1	27.0	8.8	4	4	4	4	4	11	7	15
ChiNext	3,915	6.7	21.3	33.4	103.5	25.6	77.9	19.7	86.4	2	1	1	1	2	2	11	7
Star 50	1,710	20.4	18.1	31.7	82.2	30.7	71.0	22.3	17.6	1	2	2	2	1	5	10	14

Source: Bloomberg, MSCI, data as of May 18, 2026, in USD terms

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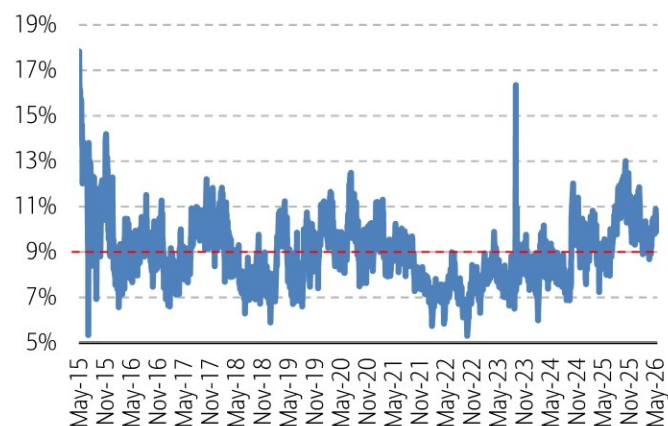
Performance of key input factors

Leverage: 75%, high

Margin trading as a % of A-share daily turnover edged lower to 9.9% in May-26, but still higher than its long-term average of 9.0%.

Exhibit 6: Margin financing as % of daily turnover since May 2015

The current margin financing as % of A-share daily turnover is above its long-term average

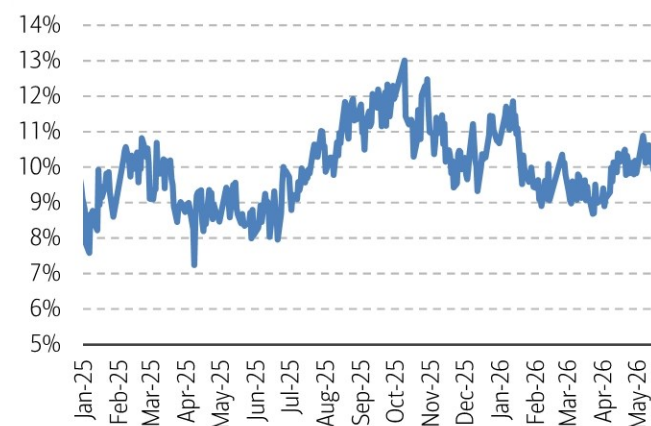


Source: BofA Global Research, Wind, CEIC

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Exhibit 7: Margin financing as % of daily turnover since 2025

Margin financing reached 9.9% of daily turnover in May-26



Source: BofA Global Research, Wind, CEIC

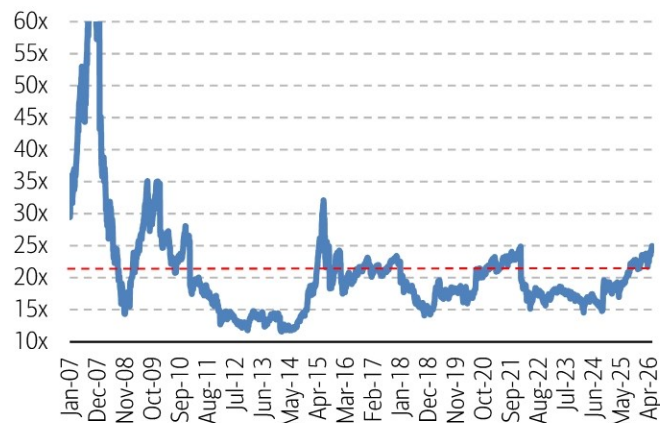
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Valuation: 84%, high

Currently, A-share P/E valuation is at 24.3x, higher than its long-term average of 21.2x since 2007.

Exhibit 8: A-share P/E valuation since Jan-2007

The current 24.3x P/E of A-share is above its long-term average



Source: BofA Global Research, Wind

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Exhibit 9: A-share P/E valuation since 2025

A-share P/E rose further from 23.7x to 24.3x in the past one month



Source: BofA Global Research, Wind

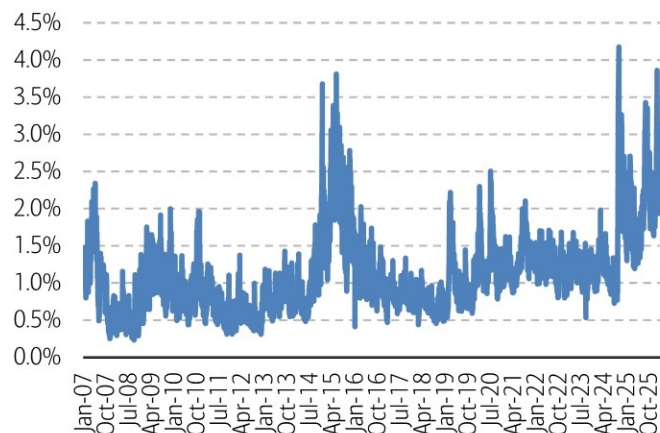
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Flow: 34%, supportive

Turnover/market cap stands at 2.8% in May-26, well above its long-term average of 1.1% since 2007. A-share main funds continued to be net sellers in the past month.

Exhibit 10: A-share turnover/market cap since Jan-2007

The current A-share turnover/market cap is well above its long-term average



Source: BofA Global Research, Wind, CEIC

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Exhibit 11: A-share turnover/market cap since 2025

Turnover/market cap reached 2.8% in May-26



Source: BofA Global Research, Wind, CEIC

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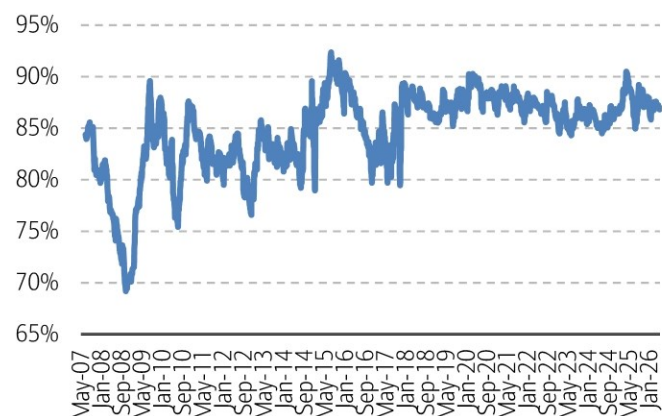


Positioning: 64%, high

86.9% of stock mutual funds' position is invested currently, higher than its long-term average of 84.7%.

Exhibit 12: % of position invested by stock mutual funds since May-2007

Stock fund positioning is at 86.9%, higher than its long-term average



Source: BofA Global Research, Wind

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Exhibit 13: % of position invested by stock mutual funds since 2025

Stock fund positioning declined further to 86.9% in May-26



Source: BofA Global Research, Wind

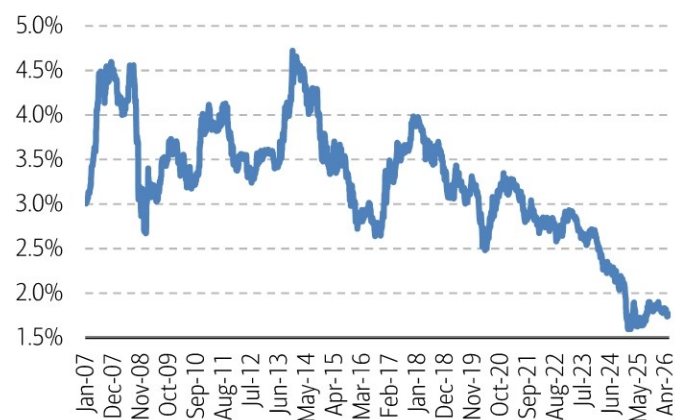
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Liquidity: 21%, loose

The 10-year government bond yield has risen to 1.76% in May-26 from its record lows of 1.6% in Jan-25.

Exhibit 14: China 10yr government bond yield since Jan-2007

The current 10yr CGB yield remains at low levels



Source: BofA Global Research, Wind

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Exhibit 15: China 10yr government bond yield since 2025

10yr CGB yield stayed low at 1.76% in May-26



Source: BofA Global Research, Wind

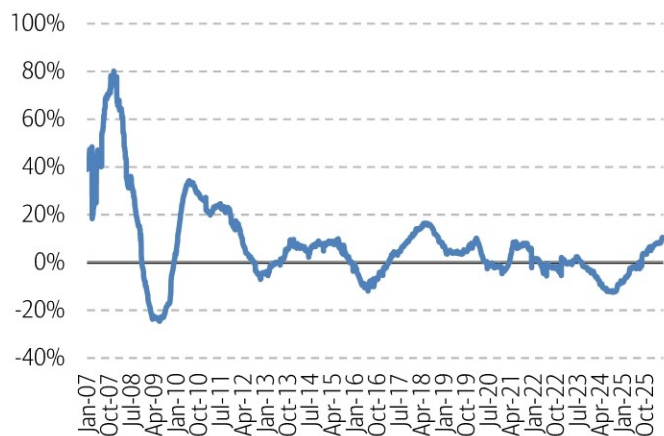
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Earnings: 26%, positive

CSI 300 earnings revision has recovered to 10.1% YoY in May-26 amid an uptrend since Sep-24.

Exhibit 16: CSI 300 earnings revision since Jan-2007

CSI 300 earnings revision has been positive since Sep-25

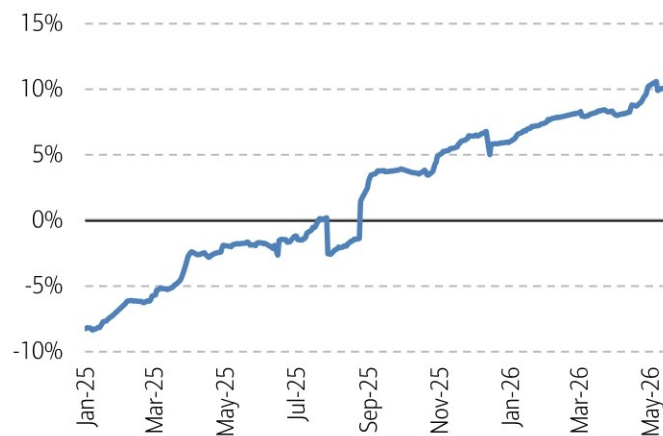


Source: BofA Global Research, Bloomberg

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Exhibit 17: CSI 300 earnings revision since 2025

CSI 300 earnings revision has recovered to 10.1% YoY in May-26



Source: BofA Global Research, Bloomberg

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Appendix

BofA China A-share W&W indicator

The BofA China A-share Wax & Wane (W&W) Indicator is a contrarian sentiment indicator, using fund flows, liquidity, positioning, leverage, earnings and valuation data. While the China Investment Compass guides us phases in the cycle and sectors to select, our W&W Indicator helps to gauge the short-term market sentiment and technical drivers. We believe the Indicator can offer predictive value on how the A-share market (ie. CSI300 Index) is likely to perform in the following 6 months – when the Indicator wanes, it usually creates buying opportunities, whereas when the Indicator waxes, it tends to become selling opportunities.

The Wax & Wane Indicator has a reading between 0 and 100:

When the Indicator exceeds the threshold of 80, sentiment is extremely strong, and it makes a “Very Bearish” signal. When the Indicator falls between 60 and 80, it is a “Bearish” signal.

When the Indicator drops below the threshold of 20, sentiment is extremely weak, and it makes a “Very Bullish” signal. When the Indicator falls between 20 and 40, it is a “Bullish” signal.

Please refer to our [Relaunching the China A-share Wax & Wane Indicator](#) report for details of the methodology.

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Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R1} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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